

Stock Market Basics: A Research Report

Task 1

1. What Is the Stock Market?

The stock market is an organized system of exchanges and over-the-counter venues where shares of publicly listed companies are bought and sold. It allows companies to raise capital from the public by issuing ownership stakes (shares), while giving investors the opportunity to own a portion of a business and share in its profits or losses.

At its core, the stock market performs two essential economic functions. First, it channels household and institutional savings into productive business investment, helping companies fund expansion, research, and operations without relying solely on bank loans. Second, it provides liquidity, the ability for investors to convert their shareholdings into cash quickly by selling to other willing buyers.

In India, the two principal stock exchanges are the Bombay Stock Exchange (BSE), established in 1875 and one of Asia's oldest exchanges, and the National Stock Exchange (NSE), founded in 1992, which introduced electronic, screen-based trading to the country. Prices on these exchanges are determined continuously through the forces of supply and demand: when more investors want to buy a stock than sell it, the price rises, and vice versa.

Stock markets also serve a valuation function. The price of a listed company's shares, multiplied by the number of shares outstanding, gives its market capitalization, a widely used measure of a company's size and perceived worth. Broad market indices such as the Sensex (BSE) and the Nifty 50 (NSE) track the performance of a basket of leading stocks and are commonly used as barometers of overall economic and investor sentiment.

2. Primary Market vs. Secondary Market

Stock markets are generally divided into two interconnected segments: the primary market and the secondary market. Understanding the distinction between them is fundamental to understanding how capital moves from investors to companies.

Primary Market

The primary market is where new securities are created and sold for the first time. Companies seeking to raise capital issue shares directly to investors through mechanisms such as an Initial Public Offering (IPO), when a private company offers shares to the public for the first time, a Follow-on Public Offer (FPO), when an already-listed company issues additional shares, and private placements or rights issues, where shares are offered to a select group of investors or existing shareholders.

In the primary market, the issuing company receives the money paid by investors directly, since it is selling its own newly created shares. This is why the primary market is sometimes called the "new issues market." Investment banks and merchant bankers typically act as underwriters, helping price the offering and manage the sale process. Once shares are allotted to investors, the company gets listed on a stock exchange, after which the shares can be freely traded.

Secondary Market

The secondary market is where previously issued securities are bought and sold among investors, without any new capital flowing to the issuing company. This is the market most people are familiar with, it includes the day-to-day trading activity on exchanges like the BSE and NSE, where investors buy shares from, and sell shares to, one another through brokers.

Because ownership simply changes hands between investors, the secondary market does not raise fresh funds for companies; instead, its primary role is to provide liquidity and continuous price discovery. A healthy, liquid secondary market is, in fact, essential to the success of the primary market, because investors are far more willing to buy new shares in an IPO if they know they can later sell those shares easily.

Aspect	Primary Market	Secondary Market
What is traded	Newly issued shares	Existing, already-issued shares
Who receives funds	The issuing company	The selling investor
Common example	IPO, FPO, rights issue	Buying/selling on NSE or BSE
Main purpose	Capital raising	Liquidity and price discovery

3. Role of SEBI in India

The Securities and Exchange Board of India (SEBI) is the statutory regulatory body responsible for overseeing India's securities markets. It was established in 1988 and given statutory powers through the SEBI Act, 1992, in response to growing concerns about malpractice, fraud, and a lack of investor protection in a rapidly expanding market.

SEBI's mandate, as defined in its founding legislation, rests on three broad objectives: protecting the interests of investors in securities, promoting the development of the securities market, and regulating the securities market. To fulfil these objectives, SEBI performs several key functions:

- Regulating stock exchanges and intermediaries: SEBI registers and supervises stock exchanges, brokers, sub-brokers, merchant bankers, portfolio managers, mutual funds, and other market intermediaries, ensuring they operate fairly and transparently.
- Overseeing public issues: SEBI regulates how companies raise capital through IPOs and FPOs, requiring detailed disclosures in prospectuses so investors can make informed decisions, and monitoring pricing and allotment processes.
- Preventing fraudulent and unfair trade practices: SEBI investigates and penalizes practices such as insider trading, price manipulation, and circulation of misleading information that could harm investor confidence.
- Promoting investor education and protection: SEBI runs awareness initiatives, maintains investor grievance redressal mechanisms, and enforces rules around fair disclosure and corporate governance for listed companies.
- Regulating mutual funds and collective investment schemes: SEBI sets the framework under which mutual funds and similar pooled investment vehicles must operate, ensuring transparency in how investor money is managed.

- Market development: SEBI continually updates regulations to keep pace with new financial instruments, technologies (such as algorithmic and high-frequency trading), and global best practices.

SEBI's authority is significant: it can conduct inspections and investigations, impose penalties, suspend or cancel the registration of market intermediaries, and even bar individuals or entities from accessing the securities market altogether. Its decisions can be appealed before the Securities Appellate Tribunal (SAT) and, beyond that, the Supreme Court of India.

Over the decades, SEBI has played a central role in modernizing India's capital markets, introducing electronic trading and dematerialized (paperless) shareholding, tightening corporate disclosure norms, and strengthening rules around mergers, acquisitions, and takeovers. Its continued oversight is widely credited with improving transparency and investor confidence, which in turn has supported the long-term growth of the Indian stock market.

Conclusion

The stock market functions as a vital bridge between companies seeking capital and investors seeking returns, operating through the complementary primary and secondary markets. In India, this system is anchored by a robust regulatory framework under SEBI, whose oversight helps ensure that capital formation occurs within a fair, transparent, and well-governed environment, protecting investors while enabling the market to grow.